(a) When the amount due is paid in cash immediately

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Retiring partner's capital A/c	Dr.		xxx	
	To Cash / Bank A/c				xxx

(b) When the amount due is not paid immediately in cash

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Retiring partner's capital A/c	Dr.		xxx	
	To Retiring partner's loan A/c				xxx

(c) When the amount due is partly paid in cash immediately

Date	Particulars		L.F.	Debit ₹	Credit ₹
	Retiring partner's capital A/c	Dr.		xxx	
	To Cash / Bank A/c (amount paid)				xxx
	To Retiring partner's loan A/c				xxx

Retiring partner's loan account will appear on the liabilities side of the balance sheet prepared after retirement till it is completely settled.



Student activity 6.3

A partner retires from a partnership firm. The final amount due to him on his retirement from the partnership firm is ₹ 25,000. He receives ₹ 15,000 immediately and the balance is left with the firm. What impact will it have in the books of accounts after his retirement?



If the amount due to the retiring/deceased partner is not paid in cash immediately and if there is no contract entered into concerning settlement of account, then provisions of Section 37 of the Indian Partnership Act, 1932 will apply.

As per section 37, the retiring partner or the representatives of the retiring or deceased partner is entitled to choose any of the following options:

(a) Share of profits attributable to the use of his share of property of the firm or

(b) Interest at the rate of 6 per cent per annum on the amount of his share on the property of the firm.

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